

Company case

The ASOS experience

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From AsSeenOnScreen to ASOS

AsSeenOnScreen was established on 3 June 2000 by Nick Robertson and Quentin Griffiths. In 2003, the name was abbreviated and ASOS was born. ASOS is a British pure play online fashion and beauty retailer primarily aimed at young adults, or as ASOS states, the '20-something market'. It sells over 850 brands as well as its own range of clothing, accessories and beauty products via e-commerce and mobile channels. It aspires to be the world's number-one online shopping destination for fashion-loving 20-somethings and it's not too far from this goal. In 2017, ASOS recorded £1,876.5 million retail sales, an increase of 34 per cent on 2016 figures. This success is greatly attributed to the company's commitment that fashion and technology have to go hand in hand, which is evident in ASOS's business. Let's see what ASOS's key to success is.

Friction-free shopping experience

With over 1.5 billion visitors to its online platforms, ASOS understands its target market and the importance of providing consumers with a unique online experience, particularly on mobile where over 70 per cent of visits to asos.com take place. The future is mobile! ASOS therefore continues to invest in its already five-star rated mobile app to meet the ever-growing expectations of tech-savvy 20-somethings who look at their phones 100+ times a day, and stay connected to the internet 24/7. ASOS recognises that 20-somethings live in a world that is constantly changing; the world of fast fashion and technological innovations. To 'keep up with the Joneses', ASOS adopts an 'always in beta' philosophy, which reflects the company's commitment to continuous improvement aimed at providing the consumer with a seamless online experience at all stages of the decision-making process.

To provide 20-somethings with the best possible experience online, the shopping journey is infused with useful and inspirational content. The ASOS content development team works around the clock to bring in the right content at the right time. They produce 60,000 pieces of content every month, which include photos of products presented by over 200 models of differing shapes and sizes, and much-loved video catwalks. This graphical content is like a shop window through which the consumer can assess the product and make purchase decisions. To further support decision making, in addition to content developed by the ASOS team, consumers can access user-generated content. This includes online consumer product reviews as well as graphical content sourced directly from the social media #AsSeenOnMe campaign.

With products from over 850 brands on offer, ASOS understands that searching for the right product can be a daunting task, even with its recently improved navigation schemes – search, as well as category and brand listed pages. To ease product search, ASOS has introduced, and constantly improves, its product recommendation algorithm based on consumers' previous purchases. Consumers can also search for products using ASOS's latest feature Style Match. Style Match is a photo search technology that allows the consumer to search for products based on pre-uploaded pictures, which directs the consumer straight to the product they are looking for. Maintaining the 'always in beta' mindset, ASOS keeps looking forward. Plans are being made to leverage machine learning, and experiment with augmented reality and voice search, to make it ever easier for the consumer to find the right product.

And when the consumer finally finds the right product, ASOS knows that there is nothing more frustrating than a 404 error code at the checkout. To ensure seamless transactions, in 2018 ASOS introduced a new upgraded app with fully native mobile experience and improved checkout. The app can handle a record number of 33 orders per second without compromising on consumer online experience.

At checkout, things are easy as ABC and that's because ASOS killed the keyboard on mobile. Instead of typing and re-typing payment card details, the consumer can scan and upload a photo of their payment card on the app, or use ApplePay or Touch ID on iOS apps, all of which allow the consumer to conclude the transaction effortlessly. If, however, the consumer wants to try the product before paying for it, a new feature, 'try before you buy' is readily available where, in three simple steps, 20-somethings can place an order, try it on and pay within 30 days from the order date.

Order delivery is as easy (and fast!) as payment. ASOS offers a range of delivery options; from standard and next day to precise, and even instant delivery to various Click & Collect options. Consumers can sign up to the Premier Delivery Scheme for unlimited next-day or nominated-day delivery. ASOS also offers real-time tracked services on 98 per cent of global deliveries because 20-somethings like to know where their orders are. Product returns are equally as important as order delivery. ASOS offers free returns from unlimited numbers of locations. All this coupled with in-app up-to-date communication for complete transparency makes the ASOS experience frictionless from start to finish.

If, however, there is a 'friction', customer service is there to help! ASOS strives to provide the best customer service through the entire ASOS experience. It has upgraded self-service

functionality for customers with the launch of an updated 'Help' section to ensure that the customer has access to the information they need. Additionally, 20-somethings can contact customer service 24/7, 365 days a year via Facebook Messenger, Twitter, Instagram, Whatsapp, live chat, email or via all of those communication channels – ASOS's CRM system records every consumer-ASOS interaction to provide seamless support.

The ASOS experience does not end there, ASOS wants its consumers to be loyal brand advocates, and they are. Eighty-five per cent of 20-somethings are enrolled on the ASOS A-LIST loyalty scheme, which allows them to collect points from every purchase in exchange for ASOS vouchers. Those vouchers can be then redeemed with their next ASOS purchase. Consumers participating in the scheme do not only shop more on asos.com, but they are also visiting ASOS more often than an average person shopping online. Win-win!

Last but not least, the ASOS experience is a safe one. Every online transaction requires provision of personal data to place an order, make payment, and to engage with the brand. This is a lot of consumer data. The smallest data security breach can lead to reputation damage and loss of consumer confidence. The ASOS Fraud Prevention team therefore works 24/7 providing fraud prevention and data protection services. And oh boy, how effective they are! In 2018 the team prevented £10.9 million worth of fraud attacks across 80,108 orders. In addition to fraud prevention, ASOS has a number of security controls in place to stop unauthorised access to consumer data, and it has recently introduced a Consumer Privacy Programme, which aims to provide the consumer with an open and transparent way to manage their privacy needs in line with EU regulations that came into effect in 2018.

#AsSeenOnMe

Equally important to a seamless online shopping experience is engagement on social media. This is because ASOS recognises that 20-somethings are present on up to seven different social media platforms, where they look for inspiration for buying clothes, accessories and beauty products. To inspire them, 80+ content creators produce social media content that not only reflects the ASOS brand, but also fits into the type of social media and its following. ASOS publishes its content on Facebook where the @ASOS Facebook page is liked by 5 million followers, Twitter where the following of the @ASOS Twitter feed exceeds 1 million, and on the Instagram page, which is regularly visited by over 9 million users. ASOS also has a YouTube channel with over 15 million views, where weekly fashion and beauty videos are uploaded. Moreover, ASOS maintains its presence on Pinterest, Google + and Snapchat. It is everywhere!

Among all the social media platforms used, ASOS knows that Instagram is the most important one. This is because Instagram

is where 20-somethings maintain their 'online self'. To encourage self-expression, ASOS encourages its followers to share their fashion looks on Instagram using the #AsSeenOnMe hashtag. Photos with #AsSeenOnMe allow for peer-to-peer styling inspiration. They are also a great source of data. Every #AsSeenOnMe photo is stored in a database, which ASOS analyses to better understand 20-somethings and make more accurate personalised product recommendations. The #AsSeenOnMe campaign is further supported by the ASOS Insiders community – a group of 20-something influencers who offer advice on how to style ASOS products. 20-somethings engaged with ASOS Insiders are found to shop six times more than average person. Win-win, again!

The social media landscape is continuously changing, and to keep up with those changes ASOS constantly introduces new social media tools. The 'always in beta' philosophy therefore, does not finish on the ASOS flagship app, but is continuous throughout its social media strategy. ASOS's latest social media features include Instagram Stories, Facebook Live Chat and Snapchat filters, all of which 20-somethings love. The figures speak for themselves. A 2017 campaign encouraging consumers to use Instagram Stories to upload a video of ASOS products they had purchased resulted in a whopping 3 million UK 20-somethings interacting with the video. WOW!

Questions for discussion

- 1 What are the key strategic objectives of ASOS and how are they measured?
- 2 Discuss what ASOS's success can be attributed to.
- 3 Identify individual stages of the consumer's online shopping journey, and discuss how ASOS supports each stage.
- 4 Considering the constantly changing digital landscape, discuss the potential risks ASOS could face in the future
- 5 Provide examples of new and emerging technologies, which ASOS can use to maintain its 'always in beta' philosophy. Discuss how ASOS can incorporate those technologies into its current business model.

Sources: Rachel Arthur, 'Fashion site ASOS launches visual search tool to aid inspiration and discovery for shoppers', *Forbes*, 10 August 2017, <https://www.forbes.com/sites/rachelarthur/2017/08/10/asos-visual-search/#30f923552b32>; Thomas Hobbs, 'Asos on why digital must be a balance between mass reach and targeting', 20 March 2017, *Marketing Week*, <https://www.marketingweek.com/2017/03/20/asos-targeting-mass-reach/>; Natasha Lomas, 'Asos adds search-by-photo to its fashion ecommerce app', <https://techcrunch.com/2017/08/10/asos-adds-search-by-photo-to-its-fashion-ecommerce-app/>; <https://www.asosplc.com/>, accessed May 2019.